AGA KHAN UNIVERSITY EXAMINATION BOARD

SECONDARY SCHOOL CERTIFICATE

CLASS X EXAMINATION

MAY 2013

Business Studies Paper II

Time: 2 hours 25 minutes Marks: 50

INSTRUCTIONS

Please read the following instructions carefully.

1. Check your name and school information. Sign if it is accurate.

I agree that this is my name and school. **Candidate's signature**

2. RUBRIC. There are THIRTEEN questions. Answer ALL questions. Questions 12 & 13 each offer TWO choices. Attempt any ONE choice from each.

3. When answering the questions:

   Read each question carefully.
   Use a black pencil for diagrams. DO NOT use coloured pencils.
   DO NOT use staples, paper clips, glue, correcting fluid or ink erasers.
   Complete your answer in the allocated space only. DO NOT write outside the answer box.

4. The marks for the questions are shown in brackets ( ).

5. You may use a simple calculator if you wish.

Q.1. (Total 3 Marks)

Explain THREE different business objectives.

1. _____

_____

2. _____

_____

3. _____

_____

Q.2. (Total 3 Marks)

Explain THREE features and legal status of the following types of businesses in private sector.

Joint Ventures _____

_____

_____

Franchise _____

_____

_____

Cooperatives _____

_____

_____

Q.3. (Total 3 Marks)

a. What is the main aim of lean production techniques? (1 Mark)

_____

_____

b. Examine TWO reasons why a business might not adopt lean production techniques. (2 Marks)

1. _____

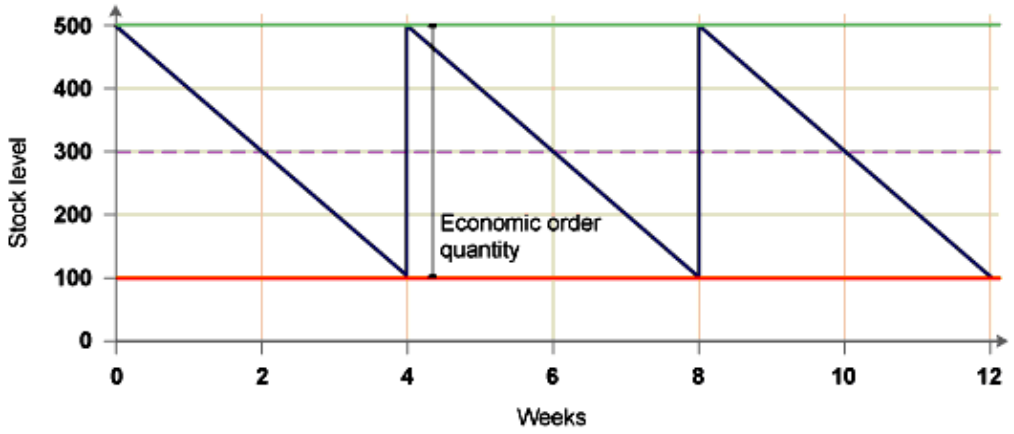
_____

2. _____

_____

Q.4. (Total 3 Marks)

'Managing and storing stock effectively is important for a business in order to maintain production and sales.'



Look at the diagram given above and interpret the THREE stock levels.

Q.5. (Total 5 Marks)

a. Discuss any TWO demerits of using piece rate. (2 Marks)

1. _____

_____

2. _____

_____

b. Outline THREE key features of ‘job enrichment’. (3 Marks)

1. _____

_____

2. _____

_____

3. _____

_____

Q.6. (Total 4 Marks)

a. Explain the difference between ‘dismissal’ and ‘redundancy’. (2 Marks)

Dismissal	Redundancy

b. Discuss TWO possible benefits that a worker will have if he joins a trade union. (2 Marks)

1. _____

_____

2. _____

_____

Q.7. (Total 5 Marks)

a. Explain THREE points of importance of decentralization to a business. (3 Marks)

1. _____

_____

2. _____

_____

3. _____

_____

b. Distinguish between line managers and staff managers. (2 Marks)

Line Managers	Staff Managers

Q.8. (Total 3 Marks)

What THREE advantages does primary research have over secondary research?

1. _____

_____

2. _____

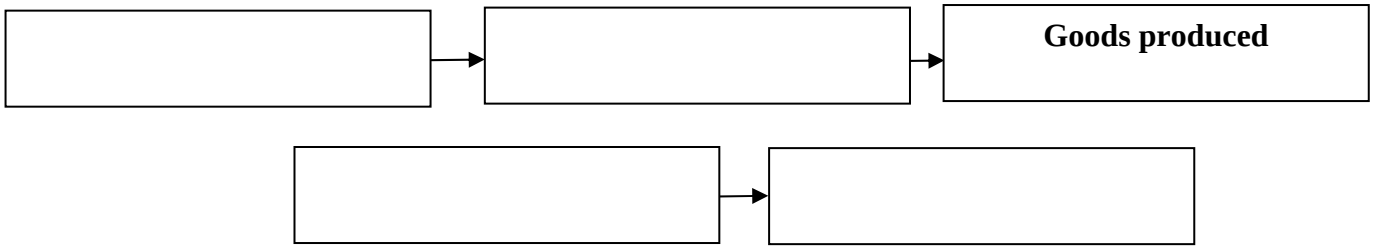
_____

3. _____

_____

Q.9. (Total 4 Marks)

Complete the following cash flow cycle.



Q.10. (Total 4 Marks)

'Managers use cash flow forecasts to help them find out the future cash position of their businesses'

Mention TWO such points which a cash flow statement forecasts and TWO uses of such a forecast in a business.

Q.11. (Total 3 Marks)

Define the following terms:

i. Dumping

_____

_____

ii. Transfer pricing

_____

_____

iii. Tax havens

_____

_____

Q.12. (Total 5 Marks)

EITHER

a. Discuss FIVE factors affecting the location of a manufacturing business.

OR

b. Explain how risks can be reduced by a manager while making decisions.

Q.13. (Total 5 Marks)

EITHER

a. Analyse which kind of financing is the most suitable for different forms of businesses with reference to short-term and long-term finance for unincorporated firms and incorporated firms.

OR

b. Explain any FOUR modes by which an employee can be consulted for decision making process of a business organization. Also give importance of worker participation.

END OF PAPER